

Brazil macro: the market paid for the first round. Will it keep paying?

Research brief · thesis dated 6 October 2026 · Brazil · interest rates · the real · commodities

MY CURRENT VIEW · NO POSITION

The market paid for Flávio Bolsonaro's lead in one session: the dollar fell 4.55% against the real and the two-year rate fell 111 basis points. I stay out until 25 October, because my entry rule has become a test of whether that payment is kept.

1. It was the largest first Monday in seven elections. USD/BRL fell 4.55% to 4.9856 on 5 October, 8.1 times the previous month's daily range, against 2.9%–3.8% after the 2014, 2018 and 2022 first rounds. It is the 8th-largest one-day gain of the real since 2002.

2. The curve moved further than the currency. The two-year zero rate fell 111 bp to 12.60% and the five-year 137 bp; 61% of the two-year fall is lower implied inflation. The premium over the economists' own rate path went from 1.46 pp to +0.35 pp: it compressed on the first round, not after the runoff.

3. In past elections the vote, not the first Monday, set the level. By the Friday before the runoff the real had given back 85% (2014) and 70% (2022) of its first-Monday gain; in 2018 it kept going. After the runoff the three paths split again, from a full reversal in 2014 to a further rally in 2018.

What would make me act

After the runoff, from 26 October: two daily PTAX closes below 5.10 with the U.S. two-year yield at or below 5.00%. With the real at 4.9856, that now asks only that less than 48% of Monday's move be given back, so a trigger would tell me little: I would read it as a prompt to review, not a green light. Earlier closes do not count.

What would change my mind

A PTAX close above 5.30 before any entry, Brazil's two-year rate above 14%, or the U.S. two-year yield above 5.10%. A PTAX at 5.22 alone would mean 99% of the first-Monday move undone. Each would mean risk is rising, not falling.

Key figures at the thesis date · 6 October 2026

Selic target

13.75%

16 Sep 2026 · BCB

Fed target range

3.75–4.00%

16 Sep 2026 · Fed

Brazil–U.S. rate gap

9.88 pp

2 Oct 2026 · BCB / Fed

USD/BRL (PTAX)

4.9856

5 Oct 2026 · BCB

U.S. 2-year yield

4.84%

5 Oct 2026 · U.S. Treasury

Brent crude (spot)

\$113.96

29 Sep 2026 · EIA / FRED

What happened to my 5 October thesis

On 5 October, before the markets reopened, I wrote that I would wait for the runoff and not pay for the first Monday. One session later, here is what held and what I underweighted. No position was opened: no performance to report, only reasoning to check.

WHAT I WROTE

Do not pay for the first Monday: no entry before 26 October, because a single session can jump every level.

WHAT HAPPENED

PTAX fell 4.55% to 4.9856, through the entry level (5.10) and into the review zone (4.94–5.00). The date clause kept the rule from firing on the move: it did what it was written for.

VERDICT

Confirmed

WHAT I WROTE	WHAT HAPPENED	VERDICT
A first Monday of about 3.3%, the 2014–2022 average, or 1.5 σ of a 15-session move.	4.55%, or 8.1 times the previous month's daily range: the largest first Monday of the seven elections since 2002 and the 8th-largest one-day gain of the real in the data. I had sized it from three elections.	Underweighted
Brazil's two-year rate sits 1.46 pp above the economists' own path: a risk premium the election would test.	The gap fell to +0.35 pp in one session (one year: –0.31 pp). The premium compressed on the first round, not after the runoff, and the economists' survey still predates the vote.	Partly
The U.S. two-year yield stays at or below 5.00%.	4.83% → 4.84% on 5 October. The condition held.	Confirmed

What I changed. I sized the first Monday from three elections; it was larger than all of them, and it came with the whole curve, not only the currency. I have not moved a single level after the fact: a rule rewritten after the move is no longer a pre-commitment. What changed is how I read it. The entry level used to ask whether the market would pay for fiscal credibility; it now asks whether the market keeps what it has already paid.

Rates, FX and quant: pricing the first Monday

The curve repriced more than the currency. The front end, anchored by the Selic (13.75%), barely moved; the fall grew with maturity, from 33 bp at six months to 111 bp at two years and 137 bp at five, so the curve now slopes down to the two-year point and back up to the ten-year. Against the economists' own Selic path it is –0.31 pp at one year but still 1.01 pp higher in the second year (1y1y forward 12.52% against 11.51%): the market pulled the cuts forward but does not expect them to go as deep. About 61% of the two-year fall is lower implied inflation (5.91% → 5.27%), the rest lower real rates (7.37% → 6.97%). The survey is a week old (the Focus of 2 October predates the vote), so part of the gap will close from the economists' side.

MATURITY	2 OCT	5 OCT	CHANGE
6 months	13.31%	12.98%	–33 bp
1 year	13.38%	12.68%	–70 bp
2 years	13.71%	12.60%	–111 bp
3 years	13.98%	12.71%	–127 bp
5 years	14.26%	12.89%	–137 bp
10 years	14.36%	13.00%	–136 bp
1y1y forward	14.04%	12.52%	–152 bp
Implied inflation, 2 years	5.91%	5.27%	–64 bp
Real rate, 2 years	7.37%	6.97%	–40 bp

Seven first rounds, one outsized Monday. I measured the first business day after each first round since 2002 against the 20 sessions before it. Only three earlier Mondays were surprises, moving the real by more than twice its usual daily range: 2014, 2018 and 2022. Before the runoff the real gave back most of the move in 2014 and 2022 and extended it in 2018; after the runoff the paths split again, from a full reversal in 2014 to a further rally in 2018. The 2026 Monday (4.55%, 8.1 σ) is the largest of the seven. Three cases are a base rate, not a test, but they say the first Monday has not predicted where the real ends up: the vote has.

YEAR	FIRST MONDAY	SIZE, IN Σ	GIVEN BACK BY RUNOFF FRIDAY	GIVEN BACK AT FIRST POST-RUNOFF CLOSE	FIRST POST-RUNOFF SESSION
2002	+1.02%	+0.5	below 2 σ	below 2 σ	–1.60%
2006	–0.55%	–0.9	below 2 σ	below 2 σ	+0.36%
2010	+0.42%	+1.3	below 2 σ	below 2 σ	+0.18%
2014	–3.35%	–6.3	85%	149%	+2.16%
2018	–2.87%	–2.5	–75%	–110%	–1.05%
2022	–3.82%	–4.2	70%	28%	–1.65%
2026	–4.55%	–8.1	pending	pending	pending

Giveback is 100% when the real is back at its pre-vote level and negative when the move was extended; it is only defined for surprise-sized Mondays (above 2σ : 2014, 2018, 2022). σ is the standard deviation of the 20 daily log returns before the vote. The 2026 runoff is still ahead.

My own rule, restated in the units of the move. The levels I wrote on 5 October were set for a real at 5.2235. A 4.55% fall has carried the real through them, so each level now says something different. I express them as the share of Monday's move that the real would have to give back, and compare each with a random walk from today's close.

LEVEL	RULE	MONDAY'S MOVE GIVEN BACK	FROM TODAY'S PTAX	RANDOM WALK ON 26 OCTOBER, PRE-VOTE VOLATILITY	RANDOM WALK, LONG-RUN VOLATILITY
5.10	Entry · Two closes below, from 26 October	48%	+2.3%	82% · closes below	74% · closes below
5.22	Exit · Two closes above, once in	99%	+4.7%	3% · closes above	10% · closes above
5.30	Drop the idea · One close above, before entry	132%	+6.3%	1% · closes above	4% · closes above

Benchmark. A random walk from 4.9856 with the pre-vote volatility (9.1% a year) and a runoff-day shock taken from past runoffs (1.4% root mean square) would close below 5.10 on 26 October in about 82% of paths, and in about 74% with long-run volatility (14.4%). At the first post-runoff close, the three surprise years kept more than half of Monday's move in two cases out of three (2018 and 2022). The entry rule is no longer selective: a trigger tells me little, and a miss tells me the real has given back more than 48% of its move.

Volatility. Realised volatility over the last 20 sessions is 18.8% a year, but 72% of the variance is the single jump on 5 October. The jump-robust (bipower) estimate is 10.0%; the long-run level since 2003 is 14.4%. I use 9.1% for the diffusion and treat the jump separately; the 5 October note used the 20 sessions up to 2 October.

Carry. The Selic–Fed gap earns 0.76% a month (9.5% a year) through forwards, not through PTAX. Against 9.1% diffusion volatility that is a carry-to-volatility ratio of 1.0; against long-run volatility, 0.7.

If it fires. If the rule fires near today's level, the position starts inside my own review zone: the levels were derived on 2 October from the 20 sessions to that day (5.0853–5.2235). I keep them, because a level rewritten after the move is no longer a pre-commitment, and I treat a trigger as a prompt to review. The distance to JPMorgan's favourable case (4.90) is 1.7%; to my exit level, 4.7% the other way.

Commodities: Brazil sells dollars, and the real prices them

Oil, soybeans and iron ore are 34% of Brazil's goods exports; with coffee, sugar and maize, the six benchmarks I can measure cover 44% (UN Comtrade, 2025). Two questions: how much of the real do they explain, and what does a 4.55% move in the real do to the price a producer actually receives?

How much of the real do commodities explain? I regressed monthly changes in USD/BRL on monthly changes in a six-commodity basket weighted by 2025 export values (258 months, Jan 2005 to Jul 2026). The basket explains 28% of the variance, with a slope of -0.40 : a 10% rise in the basket has gone with a real about 4.0% stronger. The fit is stable across the two halves of the sample (34% in 2005–2014, 24% in 2015–2026). So commodities matter, but 72% of the real's monthly variance comes from rates, fiscal risk and politics. The first Monday of October was the second kind: USD/BRL fell 4.55% even as Brent fell 1.9%.

BENCHMARK	SHARE OF EXPORTS	VOLATILITY, DOLLARS	VOLATILITY, REAIS	CORRELATION WITH USD/BRL	IN DOLLARS	IN REAIS
Oil (Brent)	12.8%	32%	29%	−0.43	+20.4%	+11.3%
Soybeans	12.5%	20%	19%	−0.37	+18.1%	+9.2%
Iron ore	8.3%	32%	32%	−0.21	+0.4%	−7.2%
Coffee (arabica)	4.3%	21%	22%	−0.23	+13.4%	+4.9%
Sugar	4.0%	26%	24%	−0.37	−9.5%	−16.3%
Maize	2.5%	22%	22%	−0.28	+10.8%	+2.5%

Volatility is annualised from monthly log changes, 2005 to July 2026; the correlation is with monthly changes in USD/BRL. Twelve-month change of each benchmark, in dollars and in reais (Jul 2025 to Jul 2026).

Spot is not futures. EIA's spot series (dated Brent) was \$113.96 on 29 September, against a peak of \$130.80 on 15 September. EIA notes that in September spot ran well above the Brent future (about \$132 against \$109 at their peaks) because supply disruptions left buyers short of physical barrels. I read the spot series as a gauge of

physical tightness, not as the price a hedger faces.

Why Brazil cares. Crude is Brazil's largest export (12.8% of 2025 goods exports), so the oil price supports the external accounts and the real. It also feeds inflation (Focus expects 5.0% for 2026, above the 4.5% ceiling of the target band) and keeps the Copom cautious. A reopening of the Strait of Hormuz would remove both supports at once.

The paper trade: wait for the runoff, then act only if the market keeps what it has paid

Inactive, no position · earliest entry 26 October

Expression	Long the Brazilian real against the U.S. dollar (short USD/BRL), tracked with the official PTAX rate. Paper only: no money, no execution.
Thesis	If the election lowers the fiscal risk premium, the real should strengthen and stay stronger, because investors keep collecting a large interest-rate cushion while they wait.
What is already priced	The first Monday took the real to 4.9856 and the two-year rate to 12.60%. The two-year rate is now +0.35 pp against the economists' own path, and the economists' year-end median for USD/BRL (5.20) predates the vote. JPMorgan's favourable case (4.90) is 1.7% below today's close.
Catalysts	Runoff 25 October; Fed 28 October; Copom 4 November.
Entry	From 26 October, the first PTAX after the runoff: two consecutive daily closes below 5.10, with the U.S. two-year yield at or below 5.00%. Earlier closes, including the rally of 5 October, do not count.
Drop the idea (before entry)	Any PTAX close above 5.30, higher than every close of the past four months (peak 5.2235 on 2 October). The idea is dropped, not reversed.
Exit (after entry)	Two consecutive closes above 5.22 (the top of the pre-vote range), or the U.S. two-year yield above 5.10%.
Review	Around 4.94–5.00 (pre-vote range low minus range width), or on 4 November at the latest. A review zone, not a target.
How the rule reads today	The real is at 4.9856, 2.3% below the entry level: the entry condition is met in price but not in time, and the date clause is all that separates the rule from a signal. The levels date from 2 October; I have not moved them after the vote.

Main risks. (1) The winner's fiscal plan is read as negative, whoever wins. (2) I buy after the move: most of the good news is already in the price, and long-real positioning was already high. (3) U.S. yields keep rising and pull money out of emerging markets, or oil falls sharply as Hormuz reopens, leaving less export income and room for faster Copom cuts.

What could happen before and after 25 October

A. Monday's move is kept

Signals: PTAX stays below 5.10 through 25 October (less than 48% of the move given back); the two-year rate holds near 12.60%; the winner shows a credible fiscal path.

What it would mean: The market keeps paying for fiscal credibility. Little is left to buy: I would be entering inside my own review zone.

What I would do: **The rule can fire from 26 October if the U.S. two-year yield is at or below 5.00%. I treat it as a review, not a green light.**

B. The rally fades

Signals: PTAX gives back more than 48% of the move (back above 5.10) before the vote or on 26 October; polls tighten. What it would mean: The market doubts the first-round signal, as it did before the 2014 and 2022 runoffs.

What I would do: **No position. Wait for the next confirmation.**

C. The premium returns

Signals: PTAX closes above 5.30 (132% of the move given back); the two-year rate moves above 14%; implied inflation climbs back toward 5.91%.

What it would mean: Fiscal worries dominate again; a weaker real plus expensive oil could make the Copom pause its cuts.

What I would do: **Drop the long-real idea. A dollar trade would need new rules.**

D. Outside shock: U.S. rates or oil

Signals: The U.S. two-year yield rises above 5.10%, or Brent falls sharply as Hormuz reopens.

What it would mean: Emerging-market currencies tend to weaken together; cheaper oil removes a support.

What I would do: **No long-real position; exit if already in one.**

Dates that matter. 25 Oct: Presidential runoff · 28 Oct: Fed decision · 4 Nov: Copom decision · 9 Dec: Fed and Copom decisions

Limits

PTAX is a reference rate, not a tradable price; costs, spreads and position size are not modelled. ANBIMA's curve is saved at 2 and 5 October for this thesis and does not refresh; ANBIMA keeps only the most recent weeks online. Market-close figures for 5 October (Ibovespa, DI futures, spot dollar, Brent, Petrobras) are press-reported from the live session. The count of the first round was 99.5% complete, so shares may still move. Focus is a survey and its latest edition predates the vote; the market-vs-economists gap mixes expectations and risk premium. No probabilities are assigned. The rules are not back-tested, and the first-round study has three surprise-sized cases. AI tools helped write code, draft research text and translate. The rules and the final judgement are mine, and every figure links to its source.

Sources

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The full evidence list, data status and calculations are on the website: brasilmacro.streamlit.app/?lang=en · github.com/Midiansi/brazil-rates-fx-scenario-monitor

Educational research, not investment advice. No real positions and no claimed performance. Thesis dated 6 October 2026; each figure shows its own date.